

Nebius Group N.V.

NASDAQ: NBIS | Technology — AI Cloud Infrastructure (Neocloud) / GPU-as-a-Service | Domicile: Amsterdam, Netherlands

RATING	12-MONTH TARGET (BASE)	IMPLIED RETURN
ACCUMULATE	\$300	+15%

Conviction: **Medium** on the stock at the current quote / **High** on the business · Horizon: 12–24 months · Bull \$470 (+80%) · Bear \$135 (–48%)

CMP (close 02-Jun-26)	\$260.58	Market Cap	\$66.72 Bn
52-Week Range	\$34.72 – \$278.84	Enterprise Value	\$66.94 Bn
Shares Out / Float	256.0M / 210.5M	Beta (5Y)	1.43
P/E (TTM)	81.41	P/B	9.22
P/S (TTM) / Fwd P/S	76.0 / 12.63	EV/Sales (TTM)	76.25
EV/EBITDA	n/m (EBITDA neg.)	Dividend Yield	Nil
Revenue (TTM)	\$877.9M (+453% YoY)	Op. Income (TTM)	–\$619.4M
Net Income (TTM)*	\$817.2M	Diluted EPS (TTM)*	\$3.20
ROE (TTM)*	14.1%	ROIC / ROCE	–9.3% / –3.0%
Net Debt	–\$0.22 Bn (net cash gone)	Debt / Equity	1.32
Insiders / Institutions	16.3% / 52.4%	Short Int. (float)	21.4% (2.6d cover)
50-DMA / 200-DMA	\$164.7 / \$114.5	RSI (14)	72.1 (overbought)
Consensus / Analysts	Buy / 16	Avg Street Target	\$238.86 (–8% vs CMP)

* Reported net income, EPS and ROE are **flattered by non-operating items** — ~\$1.47bn of TTM equity-revaluation / fair-value gains (chiefly the ~28% ClickHouse stake) plus prior-period discontinued-operations effects. The underlying business is loss-making at the operating line (TTM operating income –\$619M). All figures: stockanalysis.com, fetched 03-Jun-2026.

INVESTMENT THESIS (one line): Hyper-scaling pure-play AI neocloud — \$1.9bn ARR compounding ~50% QoQ on Microsoft + Meta anchor contracts — priced for flawless execution and heavy dilution.

Analyst: Senior Technology Analyst, Momentum Partners Institutional Research · Report date: 03 Jun 2026 · Currency: USD (\$), figures in \$ million unless stated.

2. INVESTMENT THESIS

- **Reason 1 — A genuine hyper-growth engine, not a story stock:** Nebius AI core-cloud annualised run-rate (ARR) hit **\$1.9bn in Q1-26, up ~50% QoQ** from \$1.25bn, while group revenue grew **684% YoY to \$399m**. Management guides FY2026 revenue of \$3.0–3.4bn and exit-2026 ARR of **\$7–9bn** — an unusually large, contracted backlog for a company this size.
- **Reason 2 — Anchor hyperscaler contracts de-risk the demand side:** A **\$17.4–19.4bn / 5-year Microsoft** capacity deal (Sep-2025) and a reported **~\$27bn / 5-year Meta** arrangement (\$12bn committed dedicated compute + up to ~\$15bn optional) give multi-year revenue visibility very few sub-\$70bn companies can claim, and underpin asset-backed financing of the GPU build-out.
- **Reason 3 — Full-stack neocloud + a \$2–3bn portfolio of crystallisable optionality:** Beyond the core cloud, Nebius owns Avride (autonomous driving) and TripleTen (edtech) and holds stakes in Toloka (AI data) and **~28% of ClickHouse (~\$6bn valuation)**. The ClickHouse mark alone is a multi-billion-dollar non-core asset that can be monetised to fund capex.
- **Reason 4 — Operating leverage is finally appearing:** Q1-26 was the first clearly **positive adjusted-EBITDA** quarter (co. basis ~\$129.5m; stockanalysis EBITDA +\$113.8m), with the Nebius-AI

segment margin ~45% and FY2026 group adj-EBITDA guided to ~40%. Gross margin has climbed from ~52% (FY24) to ~74% (Q1-26).

- **Near-term catalyst (6–12 months):** The **ramp of the Microsoft contract in H2-2026** (capacity delivered from Vineland, NJ) and quarterly ARR prints toward the \$7–9bn exit target are the proof-points that convert backlog into recognised revenue and EBITDA.
- **Biggest structural risk: Capital intensity and dilution.** FY2026 capex was raised to **\$20–25bn**; a large slice is still unfunded, and the funding plan explicitly relies on more convertibles + an ATM equity programme. The equity is being asked to pay for the growth it is celebrating.

3. BUSINESS OVERVIEW

- **What it is:** Nebius Group is a pure-play **AI infrastructure (neocloud) provider** — it builds and operates GPU data centres and sells full-stack AI cloud (compute, storage, managed ML/inference services) to AI developers and enterprises, competing against CoreWeave and, indirectly, the hyperscalers' own AI clouds.
- **Corporate history is unusual and must be understood:** Nebius is the **renamed former Yandex N.V.** After divesting its Russian businesses for ~\$5.4bn (completed Jul-2024), the remaining entity rebranded as Nebius Group and **resumed NASDAQ trading in Oct-2024** (it had been suspended since 2022). This is why FY2021 revenue (\$4,762m, full legacy-Yandex) is **not comparable** with FY2022–25.
- **Revenue mix:** The core AI-cloud business is roughly **two-thirds of revenue** and effectively all of the growth. Reporting is still group-level; geography is shifting toward the US (New Jersey) and Europe (Finland, UK) as new capacity is commissioned.
- **Owned businesses & stakes (optionality):** Avride (autonomous vehicles, Texas), TripleTen (edtech), a stake in Toloka (AI data labelling/evaluation), and **~28% of ClickHouse** (real-time analytics DB, ~\$6bn last round). Management frames these as monetisable to fund the core; recent bolt-ons are positioned as full-stack enablers, not separate revenue lines.
- **Backlog / visibility:** Multi-year hyperscaler contracts (Microsoft, Meta) plus hundreds of AI-cloud customers across fintech, life-sciences, physical-AI and manufacturing. Customer **prepayments are now a growing source of working capital** (unearned revenue ~\$686m TTM), a strong demand signal but also a working-capital tailwind that flatters operating cash flow.
- **Capacity:** Contracted power has surpassed **3.5 GW** (vs an earlier >2.5 GW target), with >75% on owned sites; connected power is targeted at **0.8–1.0 GW by end-2026**. Footprint spans the US (NJ, plus a large Pennsylvania site ramping to 1.2 GW by ~2030), Finland (Lappeenranta, up to 310 MW), the UK and Israel.
- **Ownership & control:** Founder **Arkady Volozh** (ex-Yandex) is CEO and the controlling shareholder via a **dual-class structure**; insiders own ~16% economically but hold disproportionate voting control. Institutions own ~52%. There is no promoter-pledge concept (US listing): N/A.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market backdrop:** AI-infrastructure is the fastest-growing slice of global tech capex — hyperscaler AI/data-centre spend is running at several hundred \$bn per year (industry estimates; not a canonical-source figure), and dedicated GPU-cloud (neocloud) demand is structurally short of supply. NVIDIA-class GPU allocation, power and data-centre shells are the binding constraints, not demand.
- **Tailwinds:** Generative-AI training/inference build-out, sovereign-AI initiatives in Europe/Middle-East, and hyperscalers willing to **rent third-party capacity** (Microsoft, Meta) rather than build everything in-house — directly the demand Nebius is capturing.
- **Headwinds:** GPU price/performance resets (each NVIDIA generation can strand prior-gen economics), data-centre power and permitting bottlenecks, rising local opposition to data centres in the US, and the risk that hyperscaler in-housing eventually reduces the rental TAM.
- **Competitive moat — honest scorecard:** Scale / first-mover capacity = **Moderate** (real, but CoreWeave is larger and hyperscalers dwarf both); Full-stack software + managed services = **Moderate-to-Strong** (genuine differentiation vs bare-metal GPU rental); Switching costs = **Moderate** (multi-year contracts, data gravity); Pricing power = **Moderate** (sells out today, but commoditisation risk as supply catches up); IP =

Weak-to-Moderate. Net: a credible but not unassailable moat.

- **Value-chain position:** Midstream picks-and-shovels — Nebius buys GPUs (NVIDIA) + power + shells, and sells managed AI compute. It sits between the chip vendors/landlords upstream and the AI model builders/enterprises downstream.

Listed peer set — AI-infrastructure / GPU-cloud (stockanalysis.com, fetched 03-Jun-2026; TTM):

Company (Ticker)	CMP \$	MCap \$bn	TTM Rev \$m	P/E	P/B	ROE	ROCE
Nebius (NBIS)	260.58	66.7	877.9	81.4	9.2	14.1%*	−3.8%
CoreWeave (CRWV)	119.3	65.1	6,227	n/m	13.3	−40.7%	−0.4%
IREN Ltd (IREN)	66.6	23.8	757.1	122.6	8.5	7.7%	−3.4%
Applied Digital (APLD)	47.9	13.7	355.5	n/m	8.6	−5.6%	−0.7%
Oracle (ORCL) ‡	244.6	703.4	64,077	43.9	21.0	57.6%	10.1%

* NBIS ROE flattered by non-operating revaluation gains; its ROCE/ROIC are negative (true operating returns). Peer CMP for CRWV/IREN/APLD/ORCL derived from the canonical price-target ÷ (1+target-difference%). ‡ Oracle included only as a scaled, profitable cloud reference — not a like-for-like pure-play.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** CEO **Arkady Volozh** founded and ran Yandex for ~two decades — a proven operator who built a multi-product tech franchise from scratch. CFO Dado Alonso and a deep ex-Yandex engineering bench (CPTO Andrey Korolenko, CRO Marc Boroditsky) give the team real infrastructure and go-to-market credibility. Tenure as Nebius is short (since 2024), so the new track record is thin.
- **Capital allocation = aggressive growth, not returns:** Every dollar of cash flow and raised capital is being redeployed into GPUs and data centres. FY2025 capex was \$4.1bn; TTM capex \$6.0bn; FY2026 guided to **\$20–25bn**. This is a land-grab strategy — appropriate if the demand is real, ruinous if it is not.
- **Funding history (the dilution/leverage trail):** Jun-2025 \$1.0bn convertibles; Sep-2025 \$2.75bn convertibles + \$1.0bn equity; Mar-2026 \$4.0bn convertibles (upsized). Long-term debt went from ~nil (FY2024) to **~\$8.4bn** (TTM); shares outstanding are rising (+11.5% YoY, +22% QoQ) and an **ATM programme (up to 25m Class-A shares)** is authorised but not yet drawn.
- **Dividend policy:** None, and none expected — entirely correct for a company in maximum reinvestment mode. Payout ratio N/A.
- **Buybacks / ESOP:** No buybacks (the company is a net issuer); stock-based compensation is rising (\$100.9m TTM) but modest relative to revenue. Net shareholder yield is negative (~−11.5%) — investors are funding growth, not being paid.
- **Governance watch-points:** (i) **Dual-class founder control** concentrates power; (ii) a web of **related/affiliated entities** (Toloka, Avride, ClickHouse stake, software bolt-ons) raises related-party and valuation-mark complexity; (iii) reported earnings lean heavily on **non-cash fair-value gains** on those very stakes — high transparency required, and so far disclosure has been reasonable.

6. FINANCIAL DEEP-DIVE

6.1 Income statement summary (\$m unless stated) — 3 actuals + 2 estimates. A = actual (stockanalysis.com); E = estimate from company FY2026 guidance.

\$m	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Revenue	9.8	91.5	529.8	3,200	6,000
Revenue growth %	−27.4%	+833.7%	+479.0%	~+504%	~+88%
Gross profit	−9.8	47.8	363.6	n.m.	n.m.
Gross margin %	−100%	52.2%	68.6%	~75%	~75%
EBITDA (reported)	−249.3	−313.8	−143.2	n.m.	n.m.
Operating income	−285.7	−399.6	−611.7	n.m.	n.m.
Net income (reported)	241.3	−641.4	82.5	n.m.	n.m.
Diluted EPS (\$)	0.65	−2.28	0.33	n.m.	n.m.
Memo: Adj-EBITDA margin (co.)	neg	neg	neg→+ve	~40%	~45%
Memo: Year-end core ARR	—	—	~\$1.25bn	\$7–9bn	—

GAAP gross profit / EBITDA / operating income / net income / EPS for FY26E–FY27E are marked **n.m.** (not meaningful): reported earnings are distorted by non-cash equity-revaluation gains and heavy GPU depreciation, so we forecast revenue, ARR and adjusted-EBITDA margin (well-grounded in explicit guidance) but decline to fabricate a GAAP bottom line. FY2027E revenue is derived from the exit-2026 ARR run-rate, not company guidance. Note reported net income swings (FY23 +\$241m, FY24 −\$641m, FY25 +\$82.5m) are driven by discontinued-operations and fair-value items, not operations.

6.2 Quarterly trajectory (\$m) — the real growth signal (stockanalysis.com):

\$m	Q1'25	Q2'25	Q3'25	Q4'25	Q1'26
Revenue	50.9	105.1	146.1	227.7	399.0
Revenue YoY %	—	+625%	+355%	+272%	+684%
Gross margin %	51.5%	71.4%	70.6%	69.9%	74.0%
Operating income	−120.3	−111.2	−130.2	−234.5	−128.0
EBITDA (reported)	−64.2	−26.5	−18.2	−32.5	+113.8
EBITDA margin %	−126%	−25%	−12%	−14%	+28.5%
Net income (reported)	−122.7	666.3	−119.6	−249.6	621.2

Q2'25 and Q1'26 net income spikes are **fair-value / revaluation gains** (e.g. ~\$780.6m equity-securities gain in Q1'26), not operating profit — operating income stayed negative throughout. The clean signals are the **revenue ramp** (8x in five quarters) and EBITDA crossing into positive territory in Q1'26.

6.3 Balance sheet (\$m) — stockanalysis.com:

\$m	FY2023	FY2024	FY2025	TTM Mar'26
Cash & ST investments	121.2	2,435	3,678	9,298
Total current assets	3,454	2,533	4,711	11,238
Net PP&E (GPUs/DCs)	146.9	891.5	6,472	8,398
Total assets	8,755	3,549	12,431	22,303
Total debt	16.5	36.4	4,888	9,496
Total liabilities	5,461	294.9	7,837	15,061
Common equity	3,294	3,254	4,594	7,241
Net cash / (debt)	104.7	2,398	−1,210	−198
Book value / share (\$)	8.88	11.58	18.55	27.71

6.4 Cash flow (\$m) — stockanalysis.com:

\$m	FY2023	FY2024	FY2025	TTM Mar'26
Operating cash flow	829.8	245.6	384.8	2,840
Capital expenditure	−82.9	−807.5	−4,066	−5,995
Free cash flow	746.9	−561.9	−3,681	−3,155

\$m	FY2023	FY2024	FY2025	TTM Mar'26
Investing cash flow	-1,212	311.6	-4,229	-6,328
LT debt issued	—	—	4,163	8,500
Equity issued	—	690	1,158	3,160
Financing cash flow	375.6	825.5	5,126	11,603
Stock-based comp	28.8	54.5	83.2	100.9

6.5 Returns & leverage — stockanalysis.com:

	FY2023	FY2024	FY2025	Current
ROE (reported)	6.8%	-19.6%	2.1%	14.1%
ROIC (operating)	-3.9%	-7.9%	-9.6%	-6.0%
ROCE	-5.3%	-9.8%	-8.6%	-3.8%
Debt / equity	0.00	0.01	1.06	1.31
Net debt / EBITDA	0.4x	7.6x	-8.5x	5.4x
WACC (stockanalysis)	—	—	—	10.7%

- **Revenue drivers:** growth is GPU-capacity-led — new clusters come online and sell out, so revenue tracks delivered capacity (ARR) with a short lag. The 8x revenue ramp across five quarters is the cleanest evidence the demand is real.
- **Margins:** gross margin expanding (52%→74%) as scale and utilisation rise; the company turned **adjusted-EBITDA positive in Q1-26**. GAAP operating income stays negative because GPU **depreciation is enormous** (\$580m+ D&A TTM) — the central debate is whether 3–4 year GPU depreciation overstates or understates true economic life.
- **Working capital:** a double-edged sword — receivables exploded to ~\$1.5bn TTM (large new contracts), but **customer prepayments** (unearned revenue ~\$686m) are funding part of the build. TTM operating cash flow of \$2.84bn is **materially inflated** by a +\$4.76bn swing in unearned revenue; do not extrapolate it as sustainable.
- **Balance sheet:** net cash has flipped to a small **net-debt** position (~-\$0.2bn) despite ~\$9.3bn cash, because ~\$9.5bn of (mostly convertible) debt now sits against the GPU fleet. D/E 1.3x and climbing.
- **FCF quality:** deeply negative (-\$3.2bn TTM) and will stay negative for years given \$20–25bn capex — this is a **cash-consuming** growth story whose equity value rests on capacity monetising at the contracted multiples.

7. EARNINGS QUALITY CHECKLIST

Parameter	Flag	Comment
Revenue recognition	GREEN	Usage + committed multi-year contracts; ARR disclosed. Straightforward.
Receivables vs revenue	AMBER	Receivables ~\$1.5bn TTM grew far faster than revenue — concentration / timing; watch collections.
Quality of reported PAT	RED	TTM net income driven by ~\$1.47bn non-operating fair-value gains; operating line is -\$619m. PAT is NOT operating earnings.
Other income as % of PBT	RED	Non-operating items dwarf and reverse the operating result — the single biggest quality flag.
Operating cash flow quality	AMBER	TTM OCF \$2.84bn flattered by +\$4.76bn unearned-revenue (prepayment) swing; not run-rate.
Capex / funding commitments	AMBER	\$20–25bn FY26 capex; large unfunded slice — future convertibles + ATM dilution embedded in the plan.
Tax-rate consistency	AMBER	Effective tax erratic (negative / near-zero) given losses + multi-jurisdiction mix.
Governance / RPTs	AMBER	Dual-class founder control; affiliated entities (Toloka, Avride, ClickHouse) create mark + RPT complexity.

Parameter	Flag	Comment
Auditor / disclosure	GREEN	Audited US filer (Form 20-F/6-K); disclosure of ARR, capex and marks reasonable so far.
Altman Z / Piotroski	AMBER	Altman Z 1.49 (distress zone) — flagged but typical of a pre-profit hyper-growth capex story; Piotroski 5.

- **RED — reported profit is an accounting artefact:** the only reason NBIS shows positive net income / ROE is ~\$1.47bn of non-cash fair-value gains on its ClickHouse and other stakes. Strip them out and the company is loss-making. Never value this stock on its P/E.
- **AMBER — cash flow optics:** headline OCF looks fantastic but is heavily boosted by customer prepayments; the honest cash picture is the deeply negative free cash flow.
- **AMBER — funding overhang:** the build-out is only partly funded; dilution and leverage are explicit, ongoing parts of the plan, not tail risks.
- **GREEN where it counts:** revenue recognition and ARR disclosure are clean, and the operating ramp itself is genuine — the quality issues are below the operating line, not in the top line.

8. VALUATION

8.1 Peer comparison (stockanalysis.com, fetched 03-Jun-2026; TTM):

Company (Ticker)	CMP \$	MCap \$bn	TTM Rev \$m	P/E	P/B	ROE	ROCE
Nebius (NBIS)	260.58	66.7	877.9	81.4	9.2	14.1%*	-3.8%
CoreWeave (CRWV)	119.3	65.1	6,227	n/m	13.3	-40.7%	-0.4%
IREN Ltd (IREN)	66.6	23.8	757.1	122.6	8.5	7.7%	-3.4%
Applied Digital (APLD)	47.9	13.7	355.5	n/m	8.6	-5.6%	-0.7%
Oracle (ORCL) ‡	244.6	703.4	64,077	43.9	21.0	57.6%	10.1%

Read-across: NBIS trades at **P/S ~76x / EV-Sales ~76x trailing** — richer than CoreWeave (~10x), IREN (~31x) and even high-flyer APLD (~43x). On **forward** revenue (\$3.0–3.4bn) the multiple compresses to ~12.6x P/S, which is the only way the valuation is defensible. The market is paying for ARR trajectory, not trailing fundamentals.

8.2 Scenario analysis (12-month, EV/forward-ARR framework; ~256m shares, dilution-adjusted):

Scenario	Key assumptions	Exit ARR	EV/ARR	Target	vs CMP
Bull	Flawless execution; both anchors ramp; premium multiple holds; minimal slippage	\$9.0bn	14x	\$470	+80%
Base	Exit-2026 ARR mid-guidance; ~40% adj-EBITDA; multiple normalises with scale	\$8.0bn	10x	\$300	+15%
Bear	Capex digestion / one hyperscaler renegotiates; dilution + multiple compression	\$6.0bn	6x	\$135	-48%

- **Why EV/ARR, not P/E or DCF:** P/E is meaningless (earnings are fair-value-driven) and a standard DCF is unreliable while FCF is deeply negative for years. For a contracted-backlog neocloud, **EV/forward-ARR** is the cleanest yardstick the market actually uses.

- **Method 1 — EV/ARR:** 10x mid-point exit-2026 ARR (\$8bn) → ~\$80bn EV; add ~\$2–3bn for non-core stakes (ClickHouse etc.), less ~\$0.2bn net debt → ~\$300/share base.

- **Method 2 — forward EV/Sales:** ~12x FY2027E revenue (~\$6.0bn) → ~\$72bn EV → ~\$280/share. Averaging the two → **base 12-month target ~\$300** (+15% vs \$260.58).

- **Reverse-DCF reality check:** at ~\$67bn EV and ~10.7% WACC, the market is implicitly pricing Nebius to reach roughly **\$6–8bn of sustainable free cash flow** (i.e. ARR scaling to ~\$15–20bn at ~40% FCF margins) within ~4–5 years. That is achievable but leaves **no margin of safety** at the current quote.

- **Conclusion:** base target \$300 (+15%), but the distribution is wide and skewed (bull +80% / bear -48%). With the stock above the Street's \$238.86 average target and RSI ~72, the risk/reward of **chasing at \$260 is unattractive**; value the right to buy lower.

9. KEY RISKS

- **Funding & dilution risk** — \$20–25bn FY26 capex is only partly funded; the plan relies on more convertibles + an ATM equity programme, so per-share value is being diluted to build. **Probability: H · Impact: H** · Monitor: share count, ATM draw-downs, new note issues, secured-debt terms.

- **Customer concentration** — two hyperscalers (Microsoft, Meta) anchor the backlog; any renegotiation, delay or non-exercise of optional capacity hits the whole model. **Probability: M · Impact: H** · Monitor: contract-ramp disclosures, % revenue from top-2, optional-capacity take-up.

- **GPU / technology obsolescence** — each NVIDIA generation can strand prior-gen economics and reset pricing; 3–4yr depreciation may prove optimistic. **Probability: M · Impact: H** · Monitor: GPU pricing, utilisation, depreciation policy, gross-margin trend.

- **Valuation / de-rating** — at ~76x trailing sales and above the Street target with RSI ~72, any growth wobble triggers an outsized multiple reset. **Probability: M-H · Impact: H** · Monitor: ARR-print cadence vs \$7–9bn target, forward P/S vs peers.

- **Earnings-quality / mark volatility** — reported profit swings on non-cash fair-value gains (ClickHouse etc.); a down-round would reverse them. **Probability: M · Impact: M** · Monitor: revaluation lines, stake valuations, segment EBITDA.
- **Execution / power & permitting** — the thesis needs DCs delivered on time across the US/EU; local opposition and grid constraints are real. **Probability: M · Impact: M** · Monitor: connected-power vs 0.8–1.0GW target, site commissioning dates.
- **Governance / control** — dual-class founder control + affiliated-entity web reduce minority-holder leverage. **Probability: L-M · Impact: M** · Monitor: related-party transactions, board independence, capital-raise terms.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — conviction **Medium on the stock at \$260, High on the underlying business.** This is a best-in-class growth asset trading at a price that already discounts a great deal of that growth.
- **12-month price target (base): \$300** (+15% vs CMP \$260.58). Bull \$470 (+80%); Bear \$135 (–48%).
- **Suggested entry zone: \$175–\$210** — i.e. toward/below the 50-DMA (\$164.7). We would **not chase** at \$260 with RSI ~72 and the price above the Street's \$238.86 average target.
- **Investment horizon:** 12–24 months; this is a multi-year capacity-monetisation story, not a quarter trade.
- **Thesis-invalidation triggers (measurable):**
 - 1. Exit-2026 core ARR tracks below ~\$6bn (vs \$7–9bn guidance) on two consecutive prints.
 - 2. A material Microsoft/Meta contract delay, downsize or renegotiation, or non-exercise of optional capacity.
 - 3. A funding event that is heavily equity-dilutive at depressed prices (large ATM draw / discounted raise), or adj-EBITDA margin slipping back below ~30%.
- **Ideal investor profile:** growth/thematic investors with high volatility tolerance and a 2-year+ horizon who size the position small. **Not for:** value, income, or capital-preservation mandates — there is no valuation floor and no dividend.

This document is investment research for institutional consideration, prepared from public sources (financials: stockanalysis.com, 03-Jun-2026; qualitative: company filings, Q1-26 earnings call, news). It is not personalised investment advice. Forward estimates (E) are clearly labelled and grounded in company guidance. Figures in USD.

APPENDIX — Latest Concall Brief: Q1 FY2026 (quarter ended 31-Mar-2026; reported 13-May-2026)

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue \$399m beat consensus (~\$378.8m); ARR +54% QoQ to \$1.9bn.
Management tone	Bullish	We build big, and everything we build, we sell — confident, expansionary.
Guidance delta	Maintained / Capex RAISED	FY26 rev/ARR/margin reiterated; capex raised to \$20–25bn on 2027 demand visibility.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1-26 was a clean operational beat dressed up in a misleading headline. Revenue printed \$399m (+684% YoY, +75% QoQ) ahead of the ~\$379m consensus, and core-cloud ARR jumped 54% sequentially to \$1.9bn — the real story. The headline \$621m net income is NOT earnings: it includes a ~\$780.6m non-cash equity-revaluation gain (ClickHouse and other stakes); strip that out and the company is still operating-loss-making, though Q1 was the first genuinely positive adjusted-EBITDA quarter (~\$129.5m, ~28% reported-EBITDA margin) with Nebius-AI segment margin ~45%. Operationally the franchise is firing: gross margin ~74%, contracted power past 3.5GW (>75% owned), and management reiterated FY26 revenue \$3.0–3.4bn / exit-ARR \$7–9bn / ~40% adj-EBITDA margin. The multi-bagger spine is the Microsoft (\$17.4–19.4bn) and Meta (~\$27bn, \$12bn committed) anchor contracts plus a full-stack, asset-backed-financeable model. Near-term catalyst: the Microsoft ramp in H2-26 from Vineland NJ converting backlog into recognised revenue. The one thing that keeps me up at night is funding: capex was RAISED to \$20–25bn, free cash flow is –\$3.2bn, and the plan openly leans on more converts + an ATM — dilution is the cost of this growth, not a tail risk. Action: ACCUMULATE on weakness toward \$175–210; do NOT chase at \$260 (above the Street's \$238.86 target, RSI ~72). Own it small for the 2-year ARR compounding, sized for –48% downside in a bear tape.

1. Financial Performance Snapshot

- Revenue: \$399m | YoY +684% | QoQ +75% | **Beat** (consensus ~\$378.8m).
- EBITDA (reported): +\$113.8m | QoQ from –\$32.5m | first positive print | **Beat**; co. adj-EBITDA ~\$129.5m.
- EBITDA margin: ~28.5% reported (~45% Nebius-AI segment) | vs –14% in Q4'25 | **Beat**.
- Operating income: –\$128m | still a GAAP operating loss (heavy GPU D&A) | **In-line**.
- PAT (reported): \$621.2m | EPS diluted \$2.11 | optically huge but distorted.
- **NOTE:** reported PAT includes a ~\$780.6m one-time non-cash equity-securities revaluation gain; **clean underlying result is an operating loss**.

2. Segment / Geography Breakdown

- Core AI cloud (Nebius AI): ~2/3 of group revenue | ARR \$1.9bn (+54% QoQ) | the growth and margin engine.
- Other / portfolio (Avride, TripleTen, Toloka, ClickHouse stake): minority of revenue; positioned as full-stack enablers + monetisable optionality.
- Geography: shifting to US (New Jersey; Pennsylvania ramping) and Europe (Finland Lappeenranta up to 310MW, UK) + Israel.
- Capacity: contracted power >3.5GW (>75% owned); connected power targeted 0.8–1.0GW by end-2026.

3. Management Commentary Themes

- Demand: everything we build, we sell — capacity sells out on delivery. Our read: demand is not the constraint, capital/power is. Tag: [GUIDANCE]. Tone: Transparent.
- Full-stack differentiation: this is our strength, this is our uniqueness. Our read: software/managed layer is the moat vs bare-metal rental. Tag: [EST]. Tone: Transparent.
- Meta deal economics: optional \$15bn capacity can be sold to other AI-cloud customers at potentially higher market prices. Our read: optionality framed as upside, but it is optional, not committed. Tag: [GUIDANCE]. Tone: Hedged.
- Margin shape: investments land first, revenue follows — Q2 margin dips, recovers Q3, steps higher Q4. Our read: back-end-loaded year; hold them to the H2 ramp. Tag: [GUIDANCE]. Tone: Transparent.
- Funding: capex financed via contract cash flows + asset-backed debt + corporate debt + ATM + customer prepayments. Our read: every lever is dilutive or leveraging. Tag: [GUIDANCE]. Tone: Transparent.

4. Operating & Business Metrics

- Core AI cloud ARR: Q1'26 \$1.9bn | Q4'25 \$1.25bn | Trend: improving (+54% QoQ).
- Contracted power: >3.5GW | prior target >2.5GW | Trend: improving (raising to >4GW by year-end).
- Connected power: targeting 0.8–1.0GW by end-2026 | Trend: ramping.
- Gross margin: Q1'26 74.0% | Q4'25 69.9% | Q1'25 51.5% | Trend: improving.
- Contract metrics: average contract value and duration both rising across new + existing logos (per CRO). Trend: improving.

5. Margin Drivers

- Scale / utilisation: +ve | Recurring: Yes | New capacity fills quickly, spreading fixed cost.
- Pricing: +ve | Recurring: partly | Price increases hold as capacity sells out; commoditisation risk longer-term.
- GPU depreciation: –ve | Recurring: Yes | Large non-cash D&A keeps GAAP operating income negative.
- Equity revaluation gains: +ve to PAT | Recurring: NO | ~\$780.6m one-off — do NOT extrapolate into forward estimates.
- Back-end-loaded capex: timing | Recurring: this year | Q2 margin step-down is timing, not structural (per CFO).

6. Guidance & Forward Signals

- FY26 group revenue [GUIDANCE]: New/Reiterated = \$3.0–3.4bn | Delta = maintained | Credibility: Medium-High.
- FY26 year-end core ARR [GUIDANCE]: = \$7–9bn | Delta = maintained | Credibility: Medium (large step from \$1.9bn).
- FY26 adj-EBITDA margin [GUIDANCE]: = ~40% | Delta = maintained | Credibility: Medium.
- FY26 capex [GUIDANCE]: Prior = \$16–20bn | New = \$20–25bn | Delta = RAISED (2027 demand visibility) | Credibility: Medium.
- Margin cadence [GUIDANCE]: Q2 dips, Q3 recovers, Q4 steps higher | Delta = new colour | Credibility: Medium.

7. Capital Allocation

- Capex: \$20–25bn FY26 guide | vs prior \$16–20bn: raised | almost entirely GPUs + data centres.
- Convertible notes: \$4.0bn priced Mar-2026 (upsized) | adds to ~\$8.4bn LT debt | sub-2% blended coupon.
- Equity: \$1.0bn issued Sep-2025 + ATM (up to 25m Class-A shares) authorised, not yet drawn | dilution embedded.
- Customer prepayments: record level | new, growing working-capital source | flatters reported OCF.
- Net debt: flipped to ~–\$0.2bn from net cash | Trend: leverage rising as build accelerates.
- Dividends / buybacks: none | correct for max-reinvestment stage.

8. Q&A Heat Map

- Goldman Sachs (A. Duval): Q: pricing & contract terms? → A: pricing strong across GPU generations, durations + ACVs rising. Tone: Transparent.
- Water Tower (J. Kisner): Q: why does Q1 ~45% segment margin imply only ~40% FY? → A: timing — investments land before revenue; Q2 dips, Q4 highest. Tone: Transparent.
- Goldman (Duval / R. Chernin): Q: M&A rationale? → A: accelerates roadmap, talent, full-stack; software is an enabler, not separate revenue. Tone: Transparent.
- Bank of America (A. Platt): Q: Meta deal structure? → A: \$15bn optional can be resold at higher market prices → >\$27bn potential. Tone: Hedged (optionality emphasised).
- On concentration: A: AI cloud serves hundreds of customers; several compete for every GPU we bring online. Tone: Transparent.
- Dodged / watch-list for next quarter: precise unfunded-capex gap and exact dilution path; hard top-2-customer revenue %.

9. Risks Flagged

- Funding execution: multiple levers but terms/timing uncertain | Flagged by: mgmt + analysts | Prob: H | Impact: H | Timeline: near-medium.
- Non-linear margin: Q2 step-down on back-end-weighted capex | Flagged by: mgmt | Prob: H (guided) | Impact: M | Timeline: near.
- Component/GPU cost inflation: characterised low single-digit | Flagged by: mgmt | Prob: M | Impact: M | Timeline: near-medium.
- Data-centre opposition (US permitting/community): | Flagged by: mgmt | Prob: M | Impact: M | Timeline: medium.
- Capacity-delivery execution (PA + sites to 2030): | Flagged by: mgmt | Prob: M | Impact: H | Timeline: medium-long.

10. Analyst Verdict

- Revenue visibility: **Intact** — ARR +54% QoQ, multi-year anchor contracts, capacity sells out.
- Margin trajectory: **Intact** — adj-EBITDA turned positive; gross margin ~74% and rising; trust the H2 ramp.
- Capital-allocation quality: **Weakened** — right strategy, but funding gap forces ongoing dilution/leverage.
- Competitive moat: **Intact** (Moderate) — full-stack + owned capacity real, but CoreWeave/hyperscalers loom.
- Management credibility: **Intact** — proven founder; guidance reiterated and capex raised on visible demand, not hope.
- Valuation comfort: **Weakened** — ~76x trailing sales, above Street target, RSI ~72; no margin of safety at \$260.
- Conviction call: **Unchanged** — ACCUMULATE on weakness (\$175–210); high business conviction, price discipline required.
- Valuation snapshot: P/E = 81.4 (n.m.) | EV/Sales = 76.3x (fwd ~12.6x) | RoCE = –3.8% | ROE 14.1% (gain-flattered).